

4. ESOP Roll-out

A. Building an ESOP Pool

ESOP pool refers to keeping a portion of the company's stock to be able to allocate it for employees as part of the ESOP. The founders or management of the company determine this by taking out a certain percentage of equity from the company and allocating it specifically to the ESOP accounts. And then these shares are reserved for distribution according to the terms and conditions.

B. Determining ESOP Values

To determine the value of ESOPs for employees, you can use the same model that is used for co-founder equity split, as discussed previously. This model considers three main components:

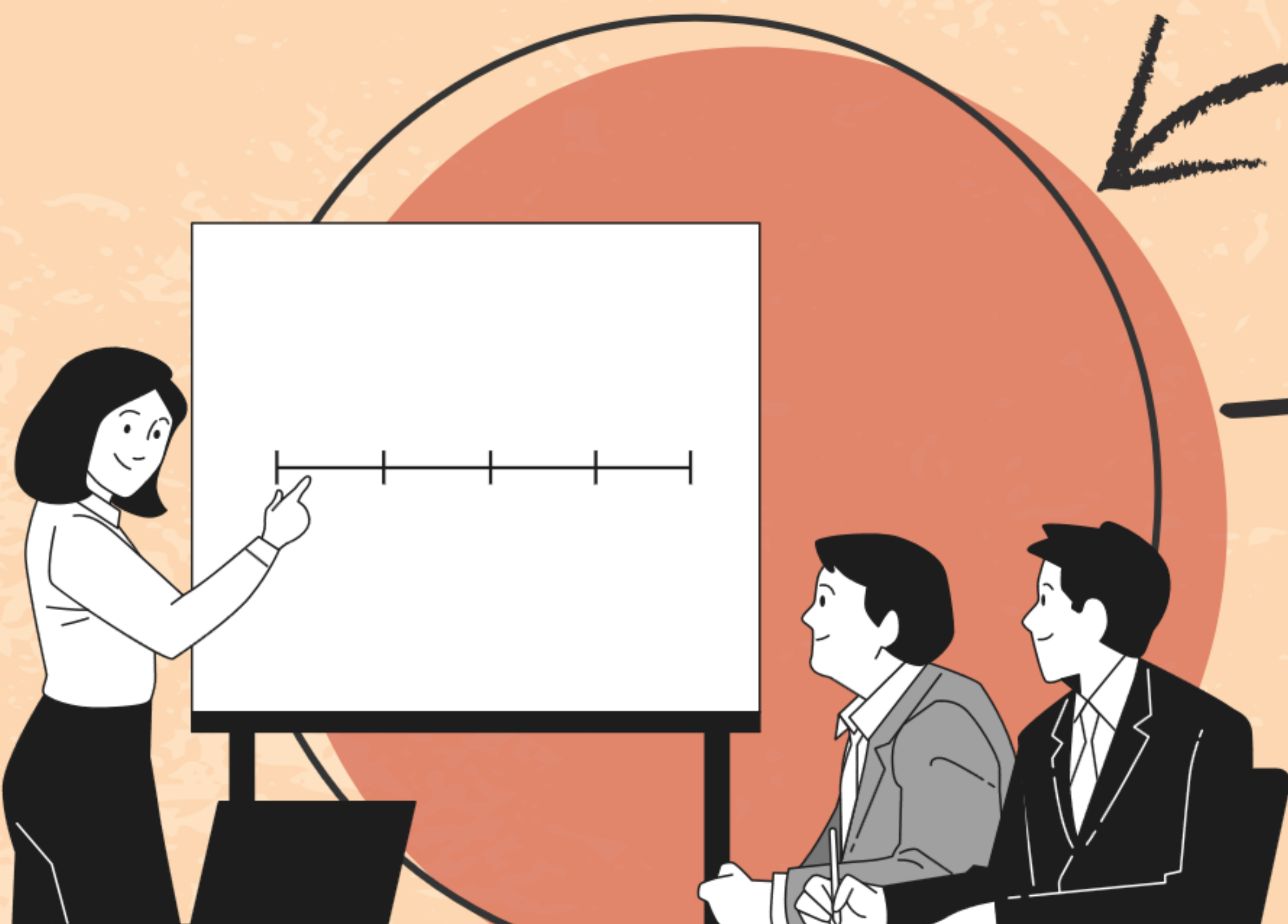
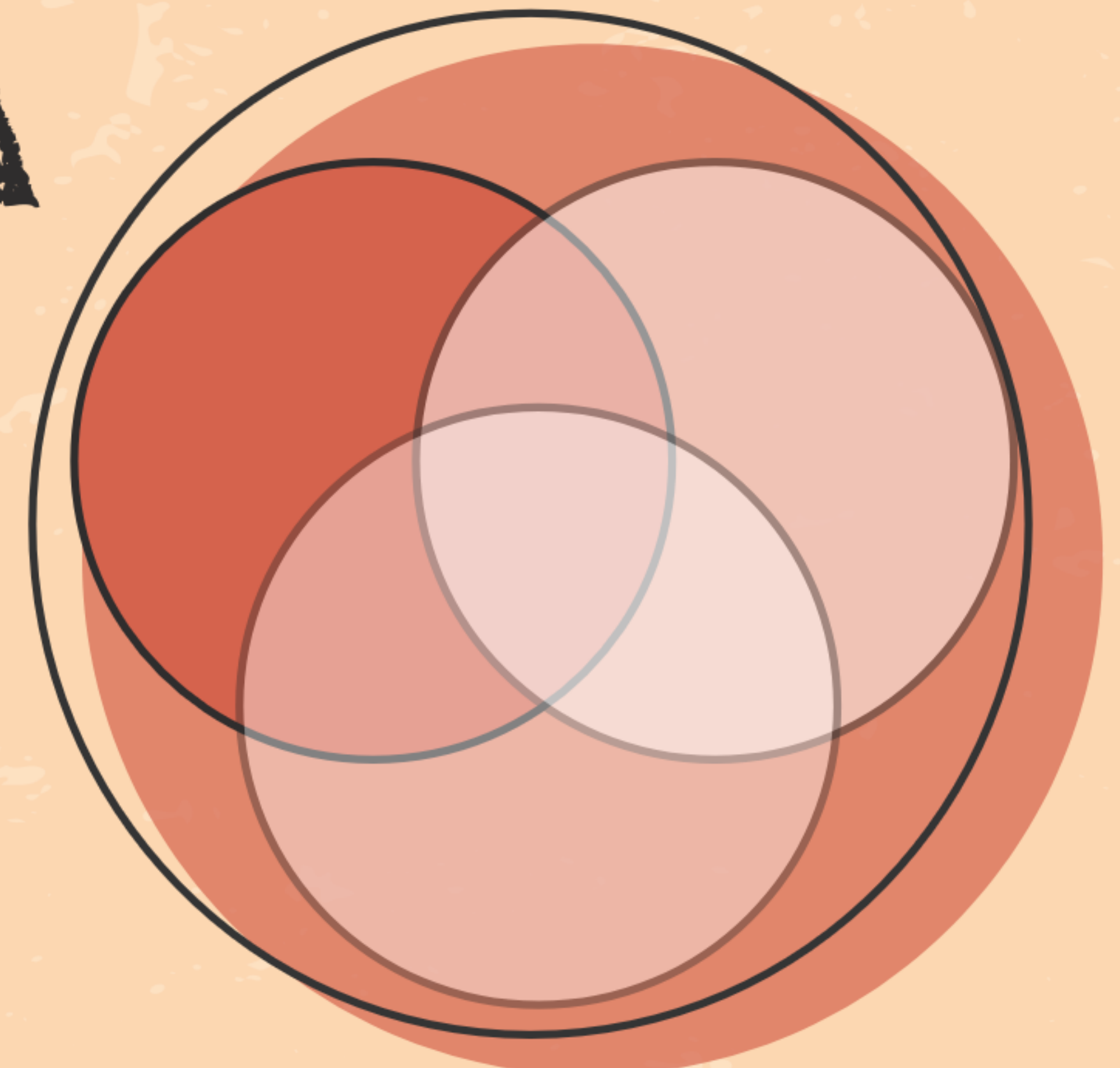
Skills: What kind of skills does an employee possess? Whether it is relevant to the startup or not?

Market Salary: If the employee is getting below what the company pays in cash, he will receive a larger portion of compensation in ESOP.



The company decides % of equity to be allotted to ESOP pool which will be reserved for distribution according to terms and conditions

Employee ESOP value is determined based on skills, market salary foregone and time in the company.



A vesting schedule informs employees about the cliff period and the timeline for attaining full ownership of their ESOPs.